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General Letter GL-16-019

To: ***Service Managers (cc Dealer Principals)***

Subject **Warranty Labour Rate Incentive (20% increase)**

This General Letter is being issued to Dealers to advise the continuation of the Warranty Labour Rate Incentive (WLRI), which will become effective from April 2016 with some minor revisions to improve the program.

The WLRI will provide a 20% increase to a Dealers warranty labour rate for a 3 month period for the top 40 Dealers that meet the “mandatory KPI criteria”.

The Scoring Criteria is based around:-

- CPS first service (12month/15,000km) retention improvement
- Retail RO Growth
- Service Manager Meeting and Foreperson’s Meeting attendance
- DQR and TSR submission
- Warranty non-compliance ratio
- Service Training achievement
- Service Skills Program participation and achievement
- Service CSI improvement

Full details of mandatory requirements (minimum standards) and key scoring criteria are attached for your reference and action.

A quarterly report will be provided on the SAP Portal as a final measure for Dealers and the overall results which will be used to identify the top 40 Dealers (up to) that will receive the incentive.

This incentive will be a great opportunity to drive Service Revenue improvement for those Dealers that strive to achieve!

Good Luck!

Yours sincerely,
Mitsubishi Motors Australia Limited

Neil Dunn
Head of Dealer Improvement and Customer Care

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2016FY 20% Warranty Labour Rate Incentive Program

MMAL is pleased to advise Dealers of the 2016FY 20% Warranty Labour Rate Incentive Program. The program aims to recognise Dealers that are focussed on Service performance in areas that improve both Dealer profitability, product knowledge and improve Customer Service Satisfaction.

Mandatory Criteria

A Dealer must meet the following criteria to be eligible to receive the incentive:-

1. The Dealer's CPS "in-house" Service Retention for the 12month/15,000km capped price service (first retail opportunity) must show a positive improvement for the quarter up to the CPS Service Retention target set per Dealer category. The data used will be the CPS claims received by MMAL for "Dealer sold – Dealer serviced".
2. Retail Repair Order (growth) for the quarter will be positive against same quarter last financial year. Data used will be extracted from MVP and/or Dealer direct survey at end of month. MMAL Regional Service representatives will audit and compare results.
3. Service Manager (or delegate) must attend quarterly Regional Service Manager Meeting.
4. Foreperson (or delegate) must attend foreperson's meeting (at least one attendance in the last 6 months).
5. Dealer Service CSI score is above Target or improving quarter on quarter.
6. Warranty Non-Compliance % must be below 10%.

Scoring Matrix

The scoring for each quarter will be based on the following:-

Items	Score Weighting
Service Training	24% (300 points)
Technical (DQR/TSR) and Foreman meeting attendance	16% (200 points)
Service CPS Retention	12% (150 points)
Service Retail RO Growth	12% (150 points)
Service Manager meeting attendance	12% (150 points)
Warranty non-compliance	12% (150 points)
Service CSI	12% (150 points)

Dealers will be ranked on a quarterly basis and the "top 40" Dealers (that meet mandatory criteria) will be awarded a 20% increase of their warranty labour rate for the next quarter.

Note:

- The 20% incentive rate will be based on the Dealer's current warranty labour rate (as recorded in SAP).

Award Timing

The Dealer performance and scoring will be completed each quarter as follows:-

- Quarter 1 result will be scored during July 2016 (for April to June)
- Quarter 2 result will be scored during October 2016 (for July to September)
- Quarter 3 result will be scored during January 2016 (for October to December)
- Quarter 4 result will be scored during April 2017 (for January to March)

The 20% Warranty Labour Rate Incentive will then apply for (respectively):-

- Quarter 1 incentive will be paid from August 2016 to October 2016
- Quarter 2 incentive will be paid from November 2016 to January 2017
- Quarter 3 incentive will be paid from February 2017 to April 2017
- Quarter 4 incentive will be paid from May 2016 to July 2016

Dealer results will be posted for individual Dealers onto the SAP Dealer Portal at the end of each quarter measurement period.

All Enquiries regarding the 20% Warranty Labour Rate Incentive Program should be discussed with your MMAL Regional Service Representative in the first instance.

Data Sources and Dealer Requirements
Data used for the final score ranking will be sourced from:-

- SAP
- MVP
- Dealer Reports (via end of month Survey)
- MOTOR
- Service Training Department
- Service Training TNA records
- TSR system
- DQR system
- Warranty system
- Relevant MMAL Departments (as required for points deductions)
- Op2ma (Service CSI)

Please Note:
Accuracy of data is the responsibility of the relevant Dealer and "no correspondence" will be entered into regarding final scores and outcomes.

All concerns regarding data should be discussed and raised with your MMAL Service representative in the first instance.

In the event that multiple Dealers meet the mandatory criteria and have equal points for the top 40 places. A count back of "Mandatory Criteria" points will be adopted by MMAL Head Office to determine the Dealer to achieve the incentive Nationally.

Points Scoring Matrix

Service Retention/Improvement Targets					***Max. 600 points/quarter**
CPS Service Retention - 1st Retail Service (12 month/15,000km service)					
Data from CPS claims submitted	Points	Q1	Q2	Q3	Q4
Over-achieved Dealer CPS Service Retention Target by 10% or above	150*	150	150	150	150
Over-achieved Dealer CPS Service Retention Target between 5% to 10%	100	100	100	100	100
Over-achieved Dealer CPS Service Retention Target between 0% to 5%	50	50	50	50	50
Retail RO Growth (year on year)					
Data from MVP/Dealer Report	Points	Q1	Q2	Q3	Q4
Above 15% growth in retail RO count	150*	150	150	150	150
10% to 14.9% growth in retail RO count	100	100	100	100	100
0% to 9% growth in retail RO count	50	50	50	50	50
Service Manager Meeting Attendance					
Data from SAP attendance lists	Points	Q1	Q2	Q3	Q4
Service Manager (or Delegate) attends quarterly meeting	150*	150	150	150	150
Service CSI					
Data from CSI Portal	Points	Q1	Q2	Q3	Q4
CSI result above National Target	150	150	150	150	150
CSI result below National Target, but improved from previous quarter	50	50	50	50	50

Service Training Targets					***Max. 300 Points/quarter**
Service Technician Training Attendance – Data from SAP and Regional Trainer	Points	Q1	Q2	Q3	Q4
100% of YTD Training Days Target (or higher) achieved	150*	150	150	150	150
90% to 99.9% of YTD Training Days Target (or higher) achieved	75	75	75	75	75
80% to 89.9% of YTD Training Days Target (or higher) achieved	30	30	30	30	30
2016 Service Skills Program Participation – Data from SAP and Regional Trainer	Points	Q1	Q2	Q3	Q4
100% of Service Advisers & Technicians participate in Program Quizzes	150*	150	150	NA	NA
Workshop Controller Training – Data from SAP and Regional Trainer	Points	Q1	Q2	Q3	Q4
Minimum of 1 Service Staff per Dealer completes Workshop Controller Training	75*	NA	NA	75	75

Service Training Targets (continued)

Service Manager Training – Data from SAP and Regional Trainer	Points	Q1	Q2	Q3	Q4
Minimum of 1 Service Manager per Dealer completes Service Manager Training	75*	NA	NA	75	75

Service Technical ***Max. 200 Points/quarter**

Service Technical Support

Data compiled by Technical Support and field Service Dept.	Points	Q1	Q2	Q3	Q4
Foreperson Meeting Attendance	200*	200	200	200	200
DQR Submission (quality/quantity measurement)					
TSR Submission (quality/quantity measurement)					

To be eligible for Service Technical points allocation, Dealer staff must be registered as per General Letter # GL-15-012.

Warranty ***Max. 150 Points/quarter**

Warranty claim non compliance

Data compiled by Warranty Department	Points	Q1	Q2	Q3	Q4
Below 2.5% non-compliance	150*	150	150	150	150
Between 2.5% and 5% non-compliance (with continuous improvement)	100	100	100	100	100
Between 5% and 10% non-compliance (with continuous improvement)	50	50	50	50	50